

Appearance. The triangle pictured in [Figure 64.1](#) is nearly a classic example of an ascending triangle. The horizontal top line of resistance repels price, and it rebounds off a steadily rising support line below. The two converging trendlines, one horizontal and the other sloping up, outline a triangular shape. The ascending trendline predicts a rise in price, hence the name *ascending triangle*.

The only problem with this triangle is with the (premature) breakout. If the pattern had behaved itself, the stock would have continued higher instead of going back into the triangle for more work to do.

Trendlines. Price should touch (or near) the trendlines a total of five or more times. That's three touches of one trendline and two on the other. Each touch should be a minor high or minor low. If price slices through the trendline at the start of the triangle, it's not a valid touch because it doesn't occur at a minor high or low. The five-touch rule helps prevent identifying bogus patterns. I'll explain common flubs later.

Crossing pattern. Price should cross the pattern several times, not hug one of the trendlines like a tightrope walker. The pattern should be filled with price movement, not whitespace. Cutting off a price turn and calling it a triangle is a common selection error.